



Damaged product credits and refunds for STLTH and L!X bottles.

STANDARD OPERATING PROCEDURE — CUSTOMER SUCCESS

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1. Purpose

This SOP defines how Customer Success handles damaged product claims for two product groups: STLTH-branded items and L!X in-house manufactured bottles. The procedures differ because STLTH no longer accepts opened product back and no longer offers replacements, while L!X bottles are recalled to the warehouse whenever the recovered excise stamp value exceeds the cost of the return shipping label.

2. Scope

Applies to every Customer Success agent who receives a damaged product report from a wholesale account. Covers STLTH disposables, STLTH Geek Bar, STLTH Loop Max and any L!X bottle manufactured in-house. Excludes carton-level damage claims, which are handled under standard returns; this SOP applies specifically to unit-level damage where the customer keeps the remainder of the carton.

3. Required documentation from the customer

Before any credit, refund or replacement is processed, the agent collects the following from the customer for every claim. Without this evidence, the claim cannot be submitted to the supplier for reimbursement and cannot be processed.

- Photographs of every damaged unit, showing the defect clearly.
- Lot number and excise stamp information for every damaged unit.

- The customer's region, since stamp values and pricing differ between federal and provincial stocks.

4. STLTH damaged product procedure

STLTH no longer offers replacements and only accepts unopened returns. DSS issues the customer credit immediately, applied as a discount on their next order, and recovers the cost from STLTH once quarterly through a consolidated submission.

4.1 Look up the customer and confirm the region.

1. In Shopify, open **Customers** and search the account by name.

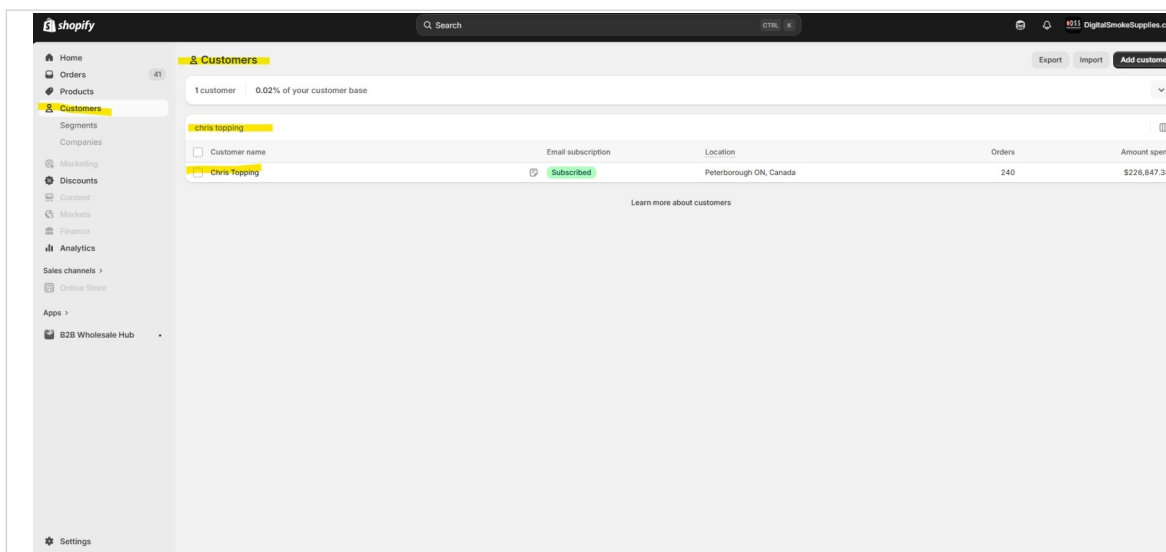


Figure 1 — Customer search in Shopify (example: Chris Topping, Peterborough ON).

2. Open the most recent paid order to confirm which region of stock the customer purchases (federal versus provincial). Pricing differs by region, so verify even if the billing address suggests one province; some accounts resell into other regions.

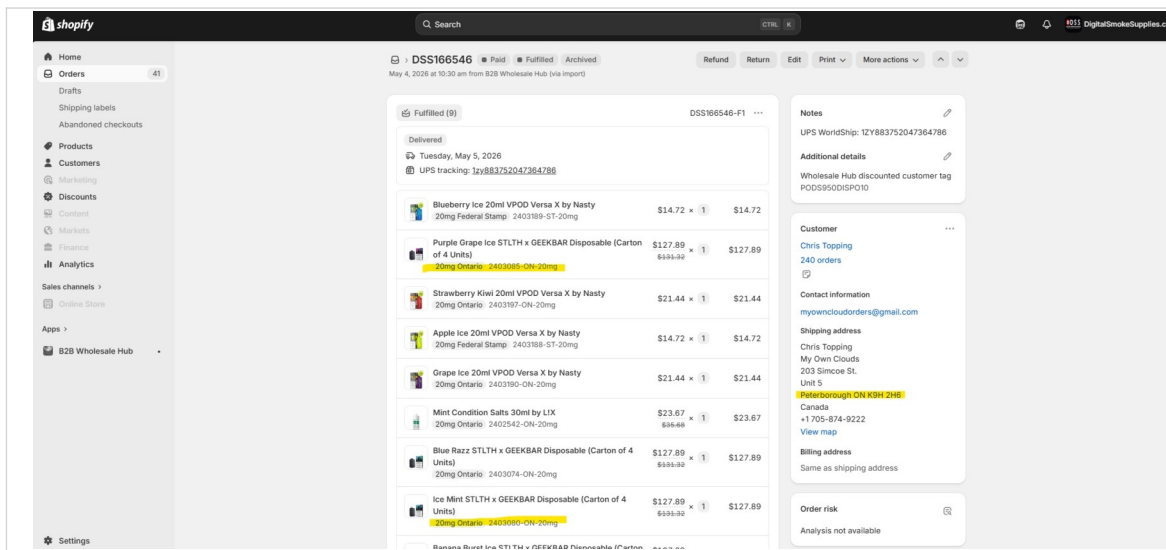


Figure 2 — Previous order showing the carton-level wholesale price used to derive the unit credit.

4.2 Calculate the unit credit.

STLTH ships in cartons of four units. Divide the customer's carton price (taken from their most recent paid order in the same region and category) by four to obtain the net unit credit. Flavours within the same category share the same price, so a single category lookup covers every flavour in that category.

ITEM	CARTON PRICE (CAD)	UNITS PER CARTON	UNIT CREDIT (CAD)
STLTH Geek Bar (Ice Mint, example)	\$127.89	4	\$31.97
STLTH Geek Bar (Purple Grape, same category)	\$127.89	4	\$31.97
STLTH Loop Max (Juicy Peach)	\$98.00	4	\$24.50
Worked total (1 + 1 + 1 unit claim)	—	—	\$88.44

Re-add the figures by hand once before continuing. A miscalculated credit cannot be quietly corrected later; the discount has already gone to the customer.

4.3 Build the credit-applied draft order.

The credit is delivered as a custom discount on the customer's next order. The customer is instructed not to pay immediately so Customer Success can cancel the unpaid order, build a draft with the discount applied, and reissue an updated invoice.

1. When the customer's next pending order arrives, open it in **Shopify** → **Orders** and choose **More actions** → **Duplicate**. This creates a draft order with the same line items, address and shipping.

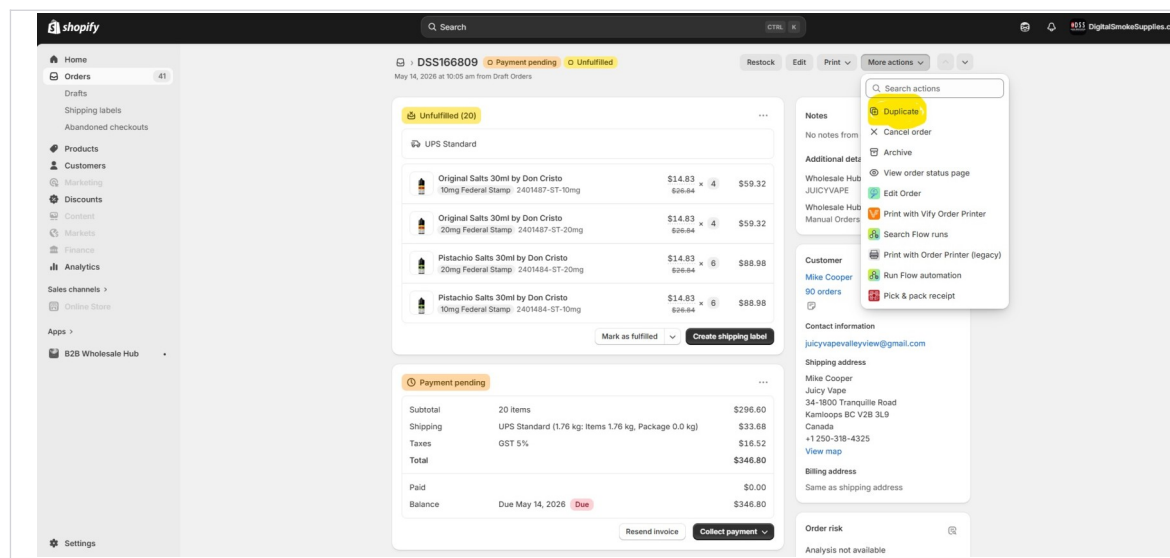


Figure 3 — More actions menu on a pending order with Duplicate selected.

2. Open the new draft and choose **More actions** → **Apply Wholesale Discounts**. This is mandatory; without it the customer pays retail pricing.

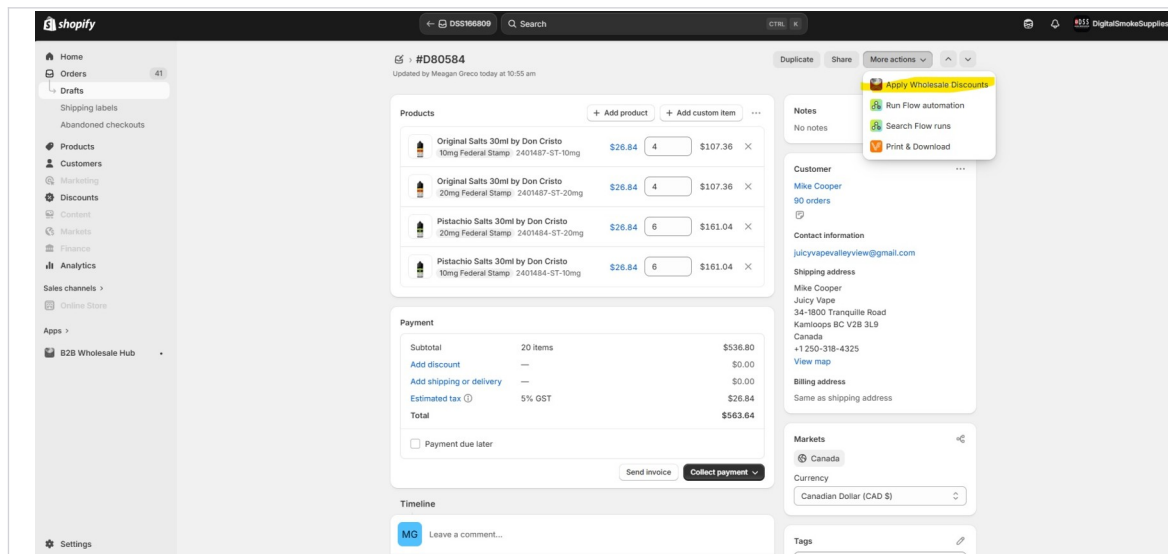


Figure 4 — Apply Wholesale Discounts on the duplicated draft order.

3. Scroll to the **Payment** section and click **Add a discount** → **Add custom order discount**. Set the discount type to **Amount**, enter the calculated credit (for example, \$88.44) and write the reason in capitals: **CREDIT FOR DAMAGED STLTH**.

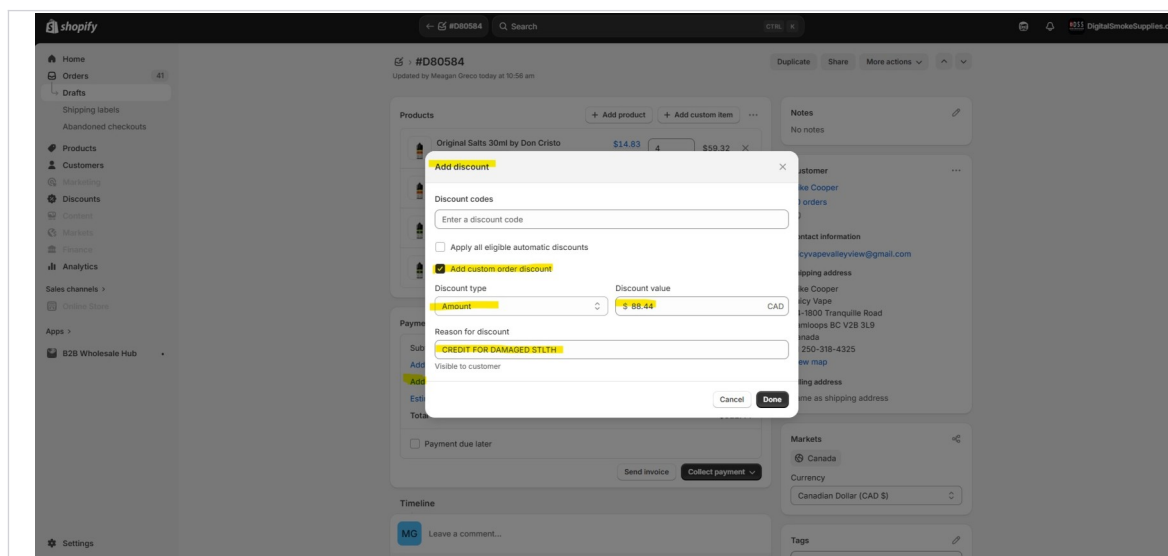


Figure 5 — Custom order discount for STLTH credit with amount and capitalised reason.

4. Confirm the **Shipping** line is populated. Never leave shipping blank. Match the carrier the customer selected on the original order (UPS, Purolator or Express). For orders over \$1,500 the default rate is free; for orders under \$1,500, select the same paid rate the customer originally chose.

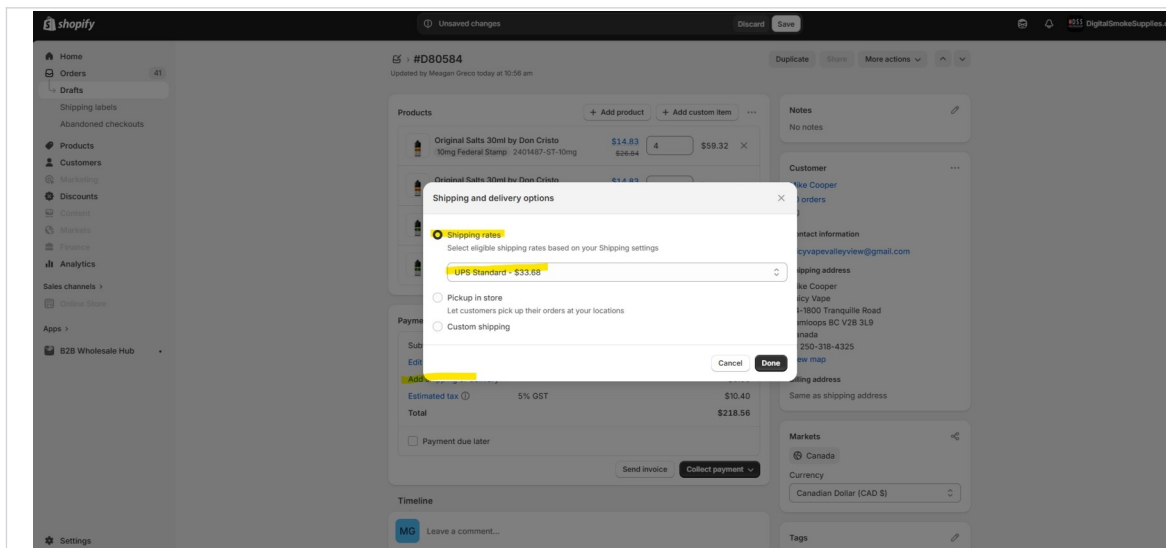


Figure 6 — Shipping and delivery options dialog with the matching carrier rate selected.

5. Tick **Payment due later**, set the terms to **Due on receipt**, and click **Create order**. The customer receives the order confirmation and invoice automatically; resend the invoice manually if the confirmation does not arrive.

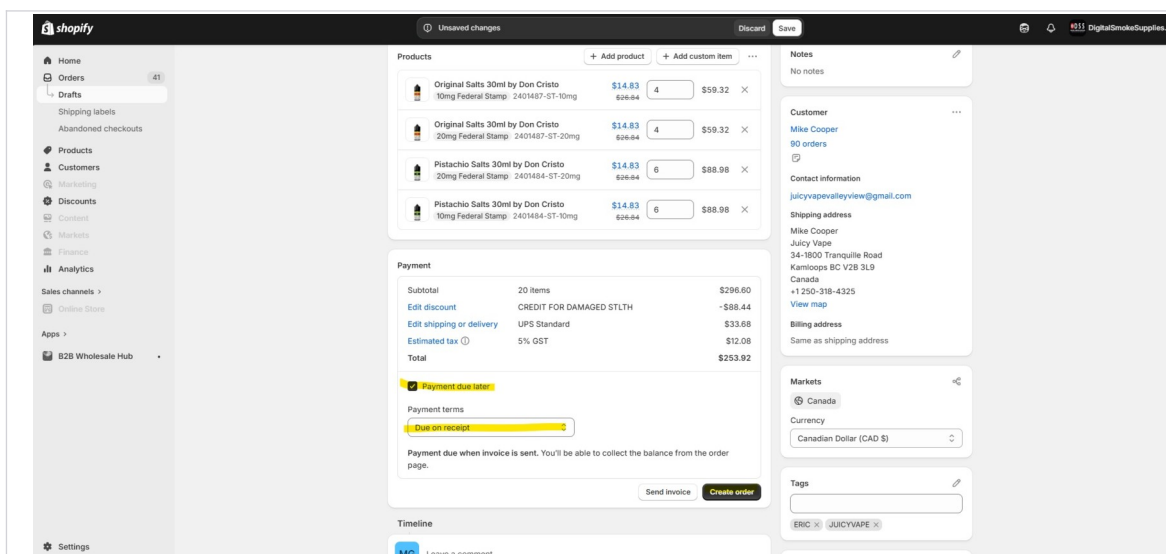


Figure 7 — Finalised draft showing the credit deducted in the subtotal and payment due later selected.

4.4 Notify the customer.

Send the customer a written confirmation of the credit on the same business day. The message must state the credit amount, list the damaged items, and instruct the customer not to pay their next order immediately so the discount can be applied.

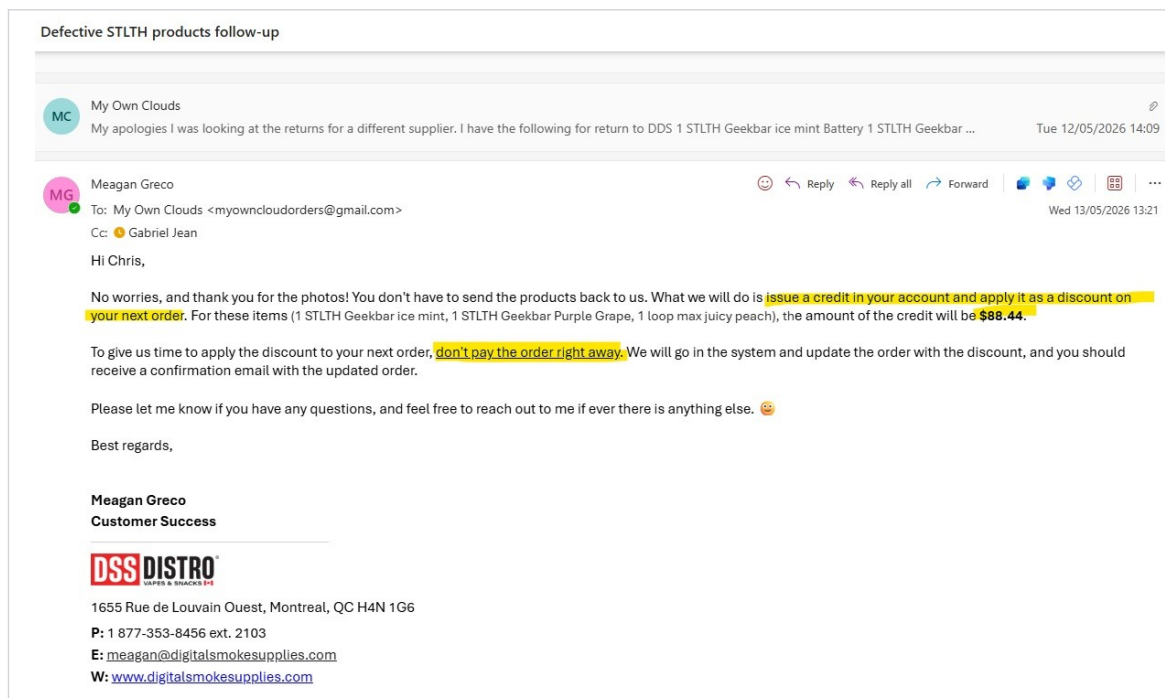


Figure 8 — Customer email confirming the STLTH credit and instructing the customer not to pay the next order until the discount is applied.

4.5 Track the outstanding credit.

Add the customer and credit amount to the outstanding STLTH credits spreadsheet maintained by Customer Success. The credit remains the agent's responsibility to flag the moment the customer's next order arrives; the spreadsheet is the safety net, not the trigger. When the customer pays by e-Transfer, ask Finance not to accept the bank deposit until the discount is applied; if the payment has already cleared, ask the customer to cancel and resend after the new invoice is issued.

4.6 Quarterly reimbursement claim to STLTH.

Once per quarter, submit a consolidated claim to STLTH listing every damaged unit not returned during the quarter. The submission contains the product name, unit count, photographs and stamp/lot information already collected per claim.

4.7 Customer requests for replacement.

If the customer asks for a like-for-like replacement, explain that STLTH has changed its returns program and no longer offers replacements. DSS cannot replace at the unit level because DSS sells in cartons; credit is the only available remedy.

5. LIX bottle damaged product procedure

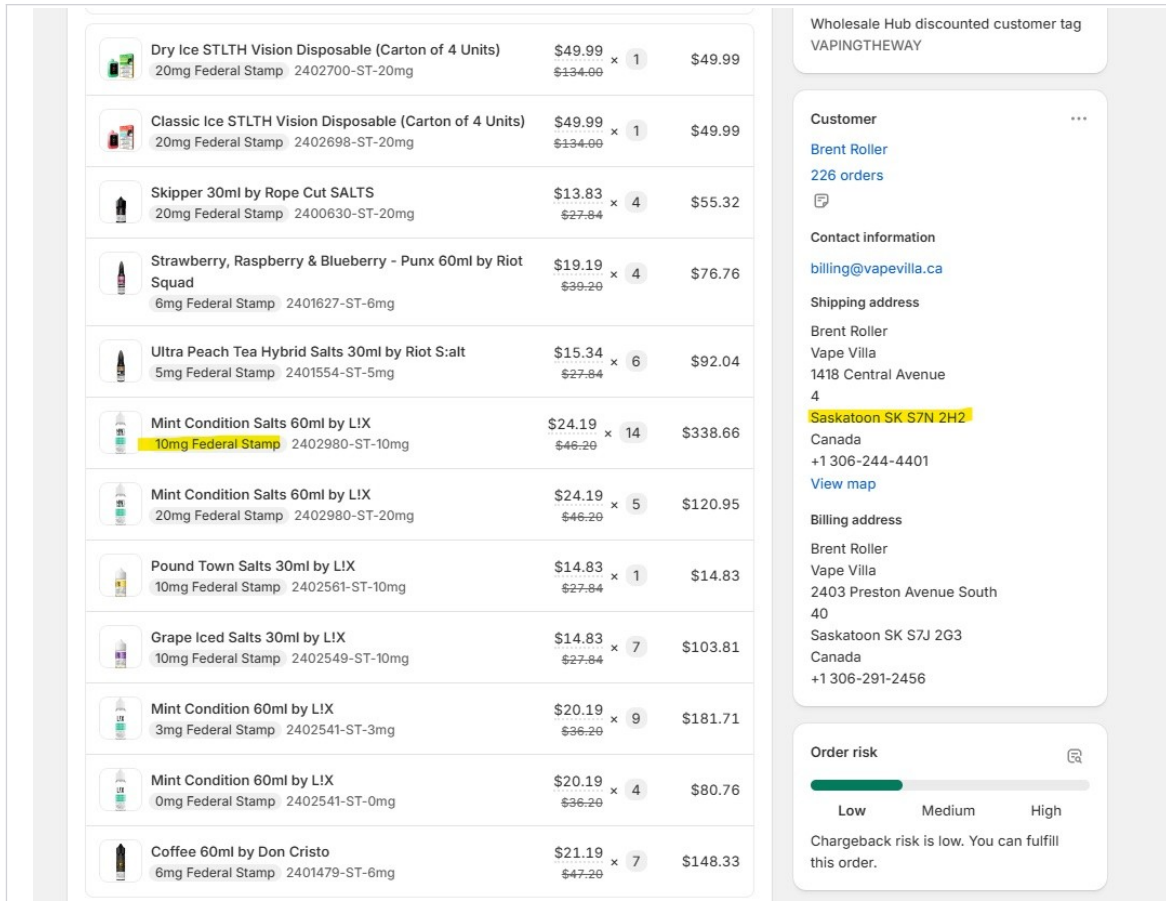
LIX bottles are manufactured in-house, so DSS recovers excise stamp value from the government whenever the bottles are returned. The threshold rule below determines whether the return is worth shipping back.

5.1 Calculate stamp value and apply the threshold rule.

BOTTLE SIZE	FEDERAL STAMP VALUE	PROVINCIAL STAMP VALUE
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30 mL	\$5.60	\$11.20
60 mL	\$11.20	\$22.40

Multiply the stamp value for the customer's region by the unit count to obtain the stamp recovery. Subtract the cost of the return shipping label. If the net is at least \$10, the bottles are recalled; if the net would be under \$10, leave the bottles with the customer.



The screenshot displays a DSS Distro order interface. On the left, a list of products is shown with their respective prices and quantities. On the right, customer information and order risk are displayed.

Product	Price	Quantity	Total
Dry Ice STLTH Vision Disposable (Carton of 4 Units) 20mg Federal Stamp 2402700-ST-20mg	\$49.99 \$134.00	x 1	\$49.99
Classic Ice STLTH Vision Disposable (Carton of 4 Units) 20mg Federal Stamp 2402698-ST-20mg	\$49.99 \$134.00	x 1	\$49.99
Skipper 30ml by Rope Cut SALTS 20mg Federal Stamp 2400630-ST-20mg	\$13.83 \$27.84	x 4	\$55.32
Strawberry, Raspberry & Blueberry - Punx 60ml by Riot Squad 6mg Federal Stamp 2401627-ST-6mg	\$19.19 \$39.20	x 4	\$76.76
Ultra Peach Tea Hybrid Salts 30ml by Riot S:alt 5mg Federal Stamp 2401554-ST-5mg	\$15.34 \$27.84	x 6	\$92.04
Mint Condition Salts 60ml by LIX 10mg Federal Stamp 2402980-ST-10mg	\$24.19 \$46.20	x 14	\$338.66
Mint Condition Salts 60ml by LIX 20mg Federal Stamp 2402980-ST-20mg	\$24.19 \$46.20	x 5	\$120.95
Pound Town Salts 30ml by LIX 10mg Federal Stamp 2402561-ST-10mg	\$14.83 \$27.84	x 1	\$14.83
Grape Iced Salts 30ml by LIX 10mg Federal Stamp 2402549-ST-10mg	\$14.83 \$27.84	x 7	\$103.81
Mint Condition 60ml by LIX 3mg Federal Stamp 2402541-ST-3mg	\$20.19 \$36.20	x 9	\$181.71
Mint Condition 60ml by LIX 0mg Federal Stamp 2402541-ST-0mg	\$20.19 \$36.20	x 4	\$80.76
Coffee 60ml by Don Cristo 6mg Federal Stamp 2401479-ST-6mg	\$21.19 \$47.20	x 7	\$148.33

Customer Information:

Wholesale Hub discounted customer tag VAPINGTHEWAY

Customer: Brent Roller
226 orders
Contact information: billing@vapevilla.ca

Shipping address: Brent Roller, Vape Villa, 1418 Central Avenue 4, Saskatoon SK S7N 2H2, Canada, +1 306-244-4401

Billing address: Brent Roller, Vape Villa, 2403 Preston Avenue South 40, Saskatoon SK S7J 2G3, Canada, +1 306-291-2456

Order risk: Low (Chargeback risk is low. You can fulfill this order.)

Figure 9 — Previous order used to identify the customer's stamp region and confirm bottle size (60 mL federal stamp, Saskatoon SK).

Worked example: six 60 mL bottles, federal stamps, customer in Saskatoon. Stamp recovery is $6 \times \$11.20 = \67.20 . A Saskatoon return label typically runs about \$25, leaving a net recovery of \$42 — well above the \$10 threshold, so the bottles are recalled.

5.2 Offer the customer their remedy.

Customer Success offers two of the following three remedies. The credit and refund options are mutually exclusive, decided by the payment method on the original order.

- **Replacement on the next order** — available for any LIX bottle. The customer waits until their next order ships.

- **Credit on the next order** — used when the customer paid by e-Transfer, bank deposit or any non-card method. Same mechanism as the STLTH credit in section 4.
- **Direct refund to the original payment method** — used when the customer paid by credit card. Fastest remedy and the default when the customer is on card.

Phrase the offer so the customer chooses between the replacement and the appropriate credit-or-refund option for their payment method. Never present credit and refund as alternatives in the same message.

5.3 Issue the return label and schedule pickup.

1. Generate the return shipping label and email it to the customer. Apologise for the inconvenience in the same message.
2. Schedule the carrier pickup for the next business day. Check the customer's opening hours before booking the window; the default safe range is 12:00–17:00. If you cannot confirm hours, do not book a 10:00 pickup.

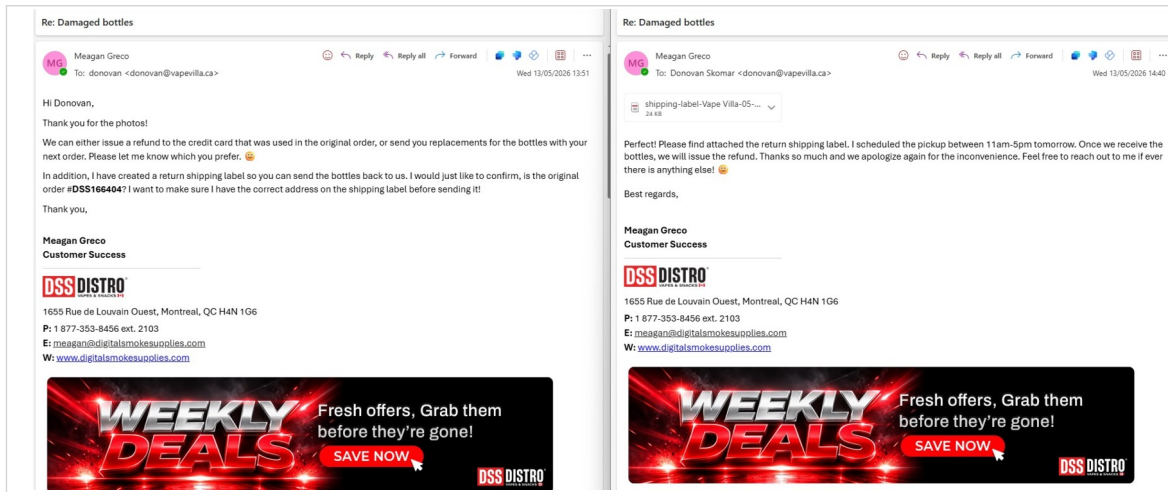


Figure 10 — Customer email confirming return-label attachment, pickup window, and the remedy options for the bottles.

5.4 Notify Operations of the incoming return.

Email Josée in Operations, copying the Customer Success Lead, with the customer name, the order number, and the size, strength and quantity of each bottle being returned. Ask Josée to confirm receipt and that the count matches. Do not act on the refund or replacement in Shopify until that confirmation arrives.

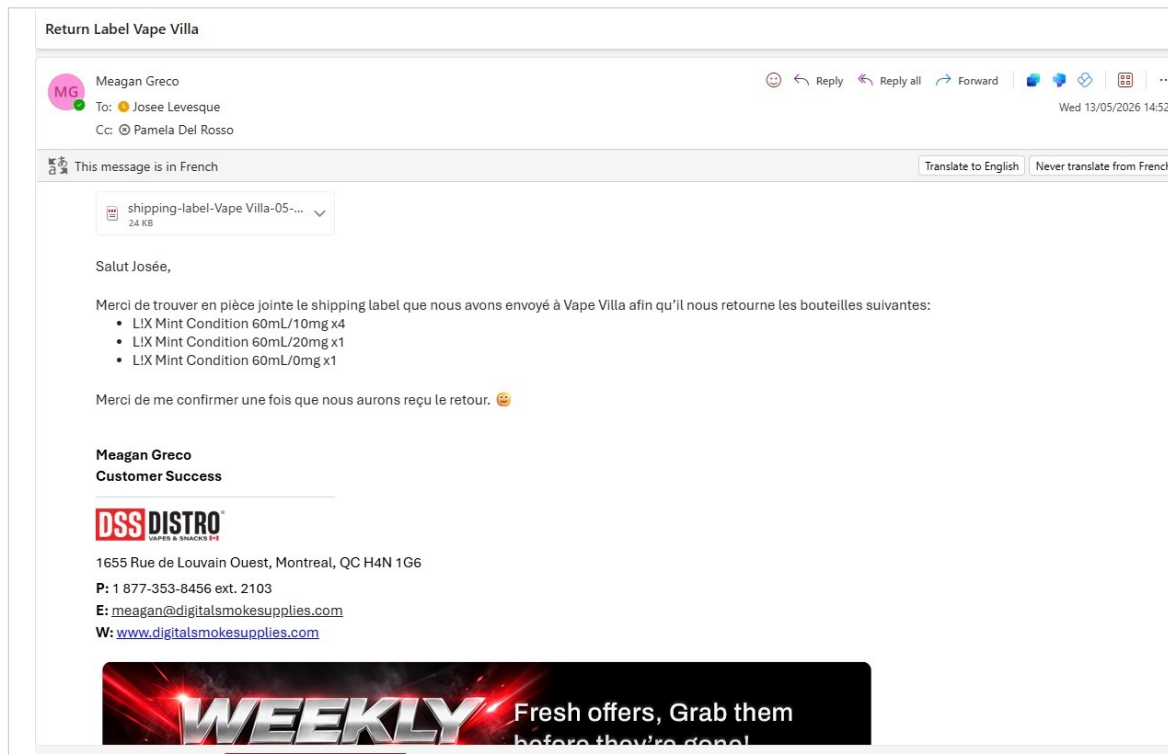


Figure 11 — Operations notification email to Josée with the itemised list of bottles inbound for return.

5.5 Process the refund in Shopify (credit-card customers).

1. Open the original order and click **Refund** at the top of the page.

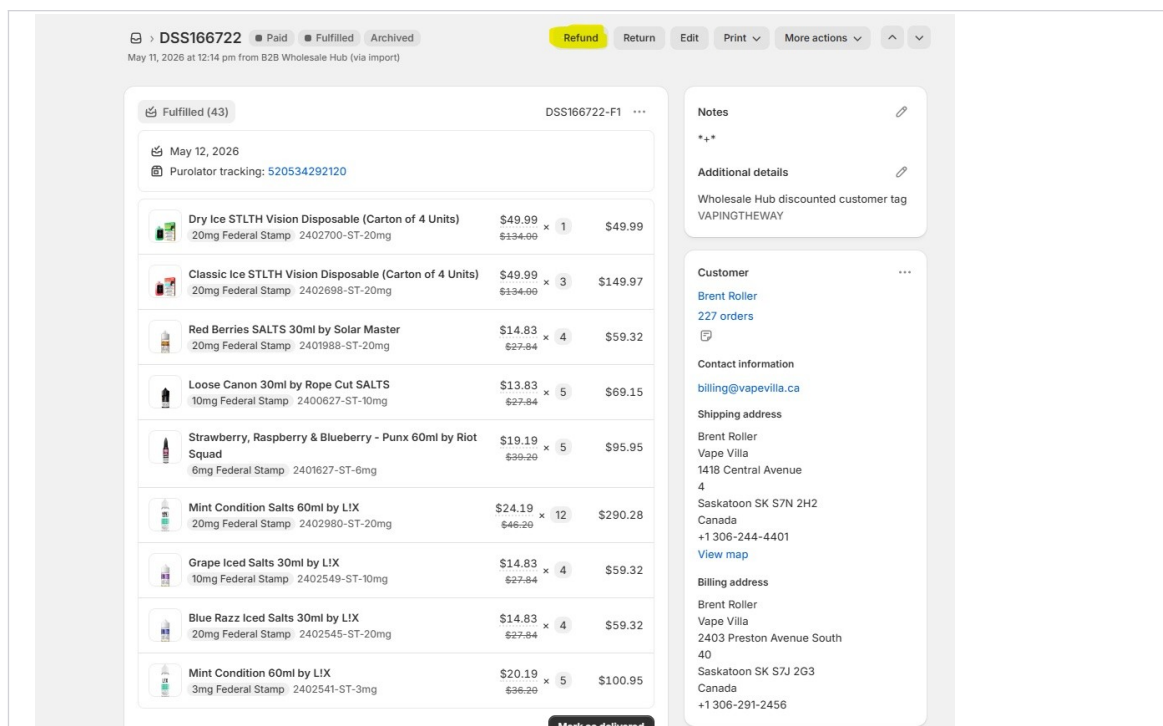


Figure 12 — Refund button on the original paid order.

2. Enter the refund quantity per line item. Confirm with Operations' count, not the customer's claim.

3. Uncheck **Restock items**. Damaged bottles do not return to saleable stock.

Fulfilled

Once an item is refunded, you can't start a return for it. To return an item, [create a return](#) first and then process the refund.

	Dry Ice STLTH Vision Disposable (Carton of 4 Units) 20mg Federal Stamp 2402700-ST-20mg	\$49.99 \$134.99	0 / 1	\$0.00
	Classic Ice STLTH Vision Disposable (Carton of 4 Units) 20mg Federal Stamp 2402698-ST-20mg	\$49.99 \$134.99	0 / 3	\$0.00
	Red Berries SALTS 30ml by Solar Master 20mg Federal Stamp 2401988-ST-20mg	\$14.83 \$27.84	0 / 4	\$0.00
	Loose Canon 30ml by Rope Cut SALTS 10mg Federal Stamp 2400627-ST-10mg	\$13.83 \$27.84	0 / 5	\$0.00
	Strawberry, Raspberry & Blueberry - Punx 60ml by Riot Squad 6mg Federal Stamp 2401627-ST-6mg	\$19.19 \$39.29	0 / 5	\$0.00
	Mint Condition Salts 60ml by LIX 20mg Federal Stamp 2402980-ST-20mg	\$24.19 \$46.29	0 / 12	\$0.00
	Grape Iced Salts 30ml by LIX 10mg Federal Stamp 2402549-ST-10mg	\$14.83 \$27.84	0 / 4	\$0.00
	Blue Razz Iced Salts 30ml by LIX 20mg Federal Stamp 2402545-ST-20mg	\$14.83 \$27.84	0 / 4	\$0.00
	Mint Condition 60ml by LIX 3mg Federal Stamp 2402541-ST-3mg	\$20.19 \$36.29	3 / 5	\$60.57

☐ Restock items
These items will need to be restocked manually

Summary

Items subtotal (3) \$60.57

Taxes \$3.03

Refund total \$63.60

Refund amount

Authorize.Net
(**** 7180)

\$63.60

\$1,010.91 available for refund

☒ Send notification once refund is finalized

Refund \$63.60

Figure 13 — Refund quantity entered, Restock items unchecked, refund amount computed automatically.

4. Scroll to the bottom and write the reason in capitals: **REFUND FOR DAMAGED/LEAKING BOTTLES** or whatever it may be. The reason field is mandatory — do not skip it even when the page is short.

	Grape Iced Salts 30ml by L!X 10mg Federal Stamp 2402549-ST-10mg	\$27.84 \$14.83	0 / 4	\$0.00
	Blue Razz Iced Salts 30ml by L!X 20mg Federal Stamp 2402545-ST-20mg	\$27.84 \$14.83	0 / 4	\$0.00
	Mint Condition 60ml by L!X 3mg Federal Stamp 2402541-ST-3mg	\$36.20 \$20.19	3 / 5	\$60.57

☐ Restock items
These items will need to be restocked manually

Refund shipping

☐ Purolator Ground - \$28.50 \$ 28.50

Reason for refund

REFUND FOR DAMAGED BOTTLES

Only you and other staff can see this reason

[Learn more about refunding orders](#)

Figure 14 — Reason for refund populated before submitting the refund.

5. Click **Refund** at the top of the page. The customer receives the refund notification automatically.
- 5.6 Process the replacement order (any payment method).
1. In Shopify, open **Orders** → **Create order** and select the customer. Verify the shipping address matches the original order — Shopify defaults to the most recent address, which may not be where the replacement should go.
2. Add the replacement bottles (size, strength, stamp region, quantity). Apply wholesale discounts as in section 4.3.
3. Add a custom order discount of **Percentage = 100%** with reason **DAMAGED PRODUCT REPLACEMENT**. This produces a \$0 invoice.

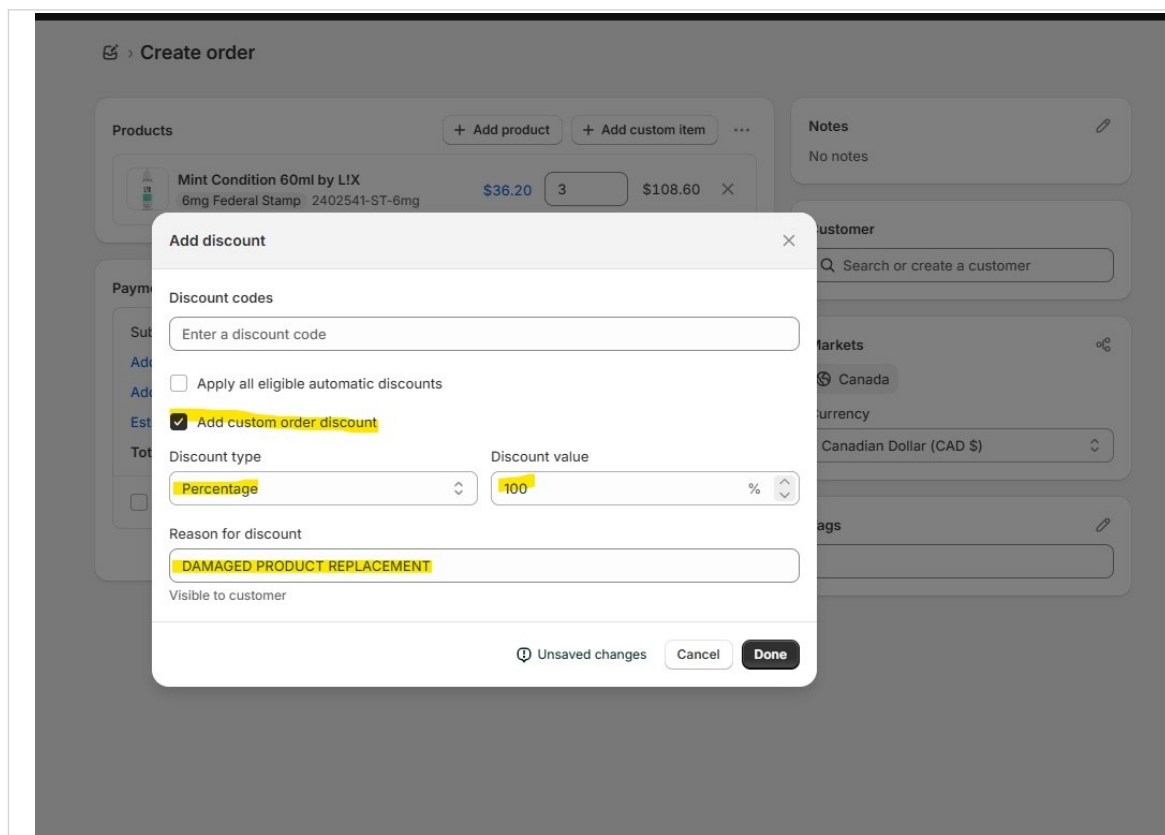


Figure 15 — \$0 replacement draft order with the 100% damaged-product-replacement discount.

4. In the **Notes** field, write **Ship with next order**. Never leave the Notes field blank on a \$0 invoice; the warehouse must know not to ship the replacement on its own.

If the customer pushes back on waiting for the next order, convert the remedy to a refund. Do not ship a standalone replacement to satisfy the request.

5.7 Track the outstanding replacement or credit.

Add the customer and remedy to the outstanding credits spreadsheet alongside STLTH credits. Direct refunds do not need tracking once the refund is processed.

6. Credit and replacement tracking

Customer Success maintains a single outstanding-credits spreadsheet that lists every unsettled credit, regardless of product line. Every new credit is added to the spreadsheet on the day it is issued, and removed the day it is settled (i.e. the customer's next order ships with the credit applied).

The agent assigned to the account is responsible for catching the customer's next order. The spreadsheet is the backstop, not the trigger; relying on the spreadsheet alone risks missing the window when the customer pays before the discount is applied.

Non-Compliance

Processing a credit, refund or replacement without photographs and stamp/lot information forfeits the quarterly reimbursement claim against STLTH and the excise stamp recovery on L!X bottles, transferring the loss to DSS. Skipping the wholesale discount step on a duplicated draft overcharges the customer at retail pricing and triggers a manual correction. Leaving the Shopify shipping field blank on a credit-applied draft, or omitting the 'Ship with next order' note on a \$0 replacement, blocks the warehouse from fulfilling the order. Restocking damaged bottles places defective product back into saleable inventory. Each of these errors is recorded against the responsible agent in the Customer Success quarterly review.

Exceptions

The Customer Success Lead may waive the photograph and stamp documentation requirement for low-value claims (single units, long-standing accounts in good standing) where the cost of evidence collection exceeds the value of the recovery. The \$10 threshold for L!X recalls may be lowered on the Customer Success Lead's authority when the customer is already due a pickup at their address for another reason. All exceptions are noted in the outstanding-credits spreadsheet against the customer row, with the approving lead's initials and the date.